

**Segment 1 : Introduction to the Fundamentals of
Business, Strategy and Strategic
Management**

**Topic 1 : Introduction to the Fundamentals of
Strategy**

Topic 2 : Fundamentals of Business

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1.1 Introduction

Different organisations have similar opportunities. Yet, the resources of each organisation perform differently. Therefore, some organisations succeed while some fail. Modern-day organisations have realised that the practice of strategic management helps achieve their objectives in a strong and competitive environment. Today, a company strives constantly to use its resources optimally. This aim to have a superior performance strategy has become a comprehensive process. An analysis of the internal and external environment helps a firm to form strategies to be successful. Strategies are the broad goal that helps to achieve the vision of a firm. Strategic management sets a framework for a firm to operate successfully.

This chapter will help you understand strategy, its fundamentals, conceptual evolution, its importance to business in this modern era, and the business goal. You will know the difference between the objectives and goals of an organisation. The organisation needs to have a vision and mission statement and lay down core competencies.

Learning Objectives:

After studying this topic, you will be able to:

- Explain the fundamentals of the strategy
- Restate the importance of strategies.
- Describe the goal and the purpose of the organisation.
- Explain the intention or need to have vision and mission statements.
- Define the core competencies of a business.

1.2 Definition of Strategy

Different organisations in the same business line, product line, or the same customer segment perform differently. Few of them will succeed, but many of them will fail. For example, How do Pepsi and Coca-Cola attract people of all ages due to buying their soft drinks? How did Samsung overtake the market of Nokia? How did Jio overtake the markets of Airtel and BSNL markets in India? How was TATA able to rebuild its reputation in the automobile industry? Strategic Management is the answer to all these questions. Hence, strategies made by the management decide the growth of the organisation, its longevity, and the efficiency and success of the organisation. High-level decisions -- such as determinations of goals, setting organisational's objectives, required resources, and interaction with the environment where it operates -- will all be made and implemented -- based on the 'strategy' formulated by the organisation.

Definitions:

As per Henry Mintzberg, 1978: A strategy is a plan.

As per Henrik von Scheel: Strategy is defined as the activities which are delivered with a unique mix of values compared with the competitors.

As per Dr Vladimir Kvint: A system of finding, formulating, and developing a doctrine that will ensure long-term success if followed faithfully.

As per Alfred Chandler, 1962: Strategy is concerned with the determination of the basic long-term goals and objectives of an enterprise and the adoption of courses of action and allocation of resources necessary for carrying out these goals.

As per the above definitions, it is clear that strategy is nothing but an action taken by the managers to attain the organisation's goal. Strategy is an integrated, organised activity for which available resources in the organisation are allocated and utilised to meet the present objectives.

Based on the above definitions authors said that strategy is basically a plan. Some authors view it as an integrated plan. In few cases, it is viewed that strategy is not only a plan; sometimes, it arises as a situation or an incident that happens in different companies.

Example

Invention of the Potato Chips: In 1853, George Crum invented the now popular potato chips. He worked as a Native American Chef at Moon Lake Lodge resort in Saratoga, New York, USA. In this restaurant, French fries were very popular. One day, a customer complained that the French fries served at the restaurant were too thick though Crum prepared them thin. However, the customer was still unhappy. To annoy the extremely fussy customer, Crum prepared very thin fries that could only be eaten with a fork. But, unexpectedly, the customer became very happy! This is how the potato chips were invented. Later on, they became famous as Saratoga chips or potato crunches. They would be packed and sold all over England as well. It is a classic example of a strategy which came up because of a situation or an incident.

1.3 The Conceptual Evolution of Strategy

The evolution of strategy can be divided into three phases:

1. Strategy in Ancient Times

In the ancient period, 1491 B.C. Moses used hierarchical delegation of authority. Based on this, he divided large sets of people into smaller groups. This made it possible to create a command structure and made it easy to implement strategies.

In 500 B.C., Sun Tzu, a Chinese philosopher and strategist, provided a book called *The Art of War*, which provides information on military and business applications. For example, it says winning without battle is best. Apple, the computer maker, is the classic case for this -- it developed unique features in its products by which it created unique markets and loyal customers.

The most classic example of strategy making in ancient times is the case of *Trojan Horse*, written by the Roman poet Virgil during 70 BC. As we all know, the Greek force hid its soldiers inside a giant wooden horse and planned to attack Troy City from inside. Unaware of this ploy, the Trojan Army took the horse into the city and won the war. However, the

Greek soldiers stepped out and attacked the city to win the city and end the war. A computer virus is a classic example of this strategy.

During 530 AD, Britain's King Arthur's approach is more famous than the Greeks' approach. Here, he made his famed round table in that he and his knights should not be seen as above the others while plotting the group strategy. It shows the importance of the central mission to guide an organisation-wide strategy.

2. Lessons Offered by the Military Strategy

During this era, the word strategy arrived from the word strategos, which means general or army leader. In 1532, a book called *The Prince*, written by Niccolo Machiavelli, provides clever formulas for success to government leaders. In 1775, a revolutionary war started between Great Britain and The United States. Here, the Americans used non-traditional guerrilla warfare to win the war against the strategic targeting of the British. The strategic alliance between the US and the French navy worked well, and the Americans won the war.

In 1815, Napoleon was defeated at Waterloo because of his poor decision. He spread his resources too thin without a proper strategy, resulting in his defeat. The American Civil War is an example of the failure of strategy. Even a good strategy won't work if it doesn't account for greater resources. Around a century, Americans fought on one another, the Confederate States (the South) and the United States (the North). This war was fought over the moral issues of slavery. Where southern states wanted to have their control over the federal government. So that they could abolish the law that was against their interest to keep slaves and take them wherever they wanted. Another reason for the war was the territorial expansion of slavery. Confederates had a good general who had experience in handling the American and Mexican wars. But the United States possessed greater resources like factories, railways, and roads. Modern companies were also discovered in this part, which helped them to execute their strategy easily and win the war against the Confederate. During 1944, a war between the French and Germans was also a classic example of neglecting the competitor's competencies and a blind assumption that led the

opponents to win the war. Classic military examples sometimes provide a lesson for business decisions also.

3. Strategic Management in the Academic Field

Strategic Management has been considered as a distinct field of study over the past century. During ancient times, Sun Tzu made it clear that strategic management was an art and also a science. However, a step towards developing the scientific aspects of strategic management was initiated by Frederick W. Taylor in 1911. He published his first scientific Management book, *The Principle of Scientific Management*. This book was the result of Taylor's observations. He believed that the task within the organisation was organised haphazardly. Taylor believed that management principles should be derived through a scientific investigation which may lead to more efficiency in the organisation.

In the early 20th century, among the industrial leaders, Henry Ford emerged as a pioneer of strategic management. A car was a luxury item even for the richest people during this period. He boldly envisaged that he could manufacture a car for the average family. With the help of Taylor and others, Ford organised the assembly line for manufacturing. It helped to reduce the costs dramatically. But in his flagship segment, he offered only the black colour car, which became a big failure for Ford as his competitors offered cars in different colours.

Later he was left with no choice and offered different colours for the flagship segment. Harvard University was the first institution to offer a Business Management course in 1912 for business executives. This management course was developed mainly based on Taylor's management principles.

In 1920 A&W Root Beer was the first restaurant that offered franchise businesses to others. As we know today, franchising means offering a company's brand name, product, and processes for a franchisee fee or in the form of a percentage of franchisee revenue. Within a few decades, this franchisee business became more successful. McDonald's is a classic example of having more than 30,000 restaurants worldwide carrying its brand.

In 1959, based on Ford Foundation's recommendations all business schools started the capstone course. The main objective of this course was to provide integrated knowledge across business fields such as finance, accounting, and marketing to provide better ideas to address complex business problems. This capstone course was different from Taylor and Harvard's, one of the best solutions to business problems. This course emphasised the critical thinking capacity of the students. So that they can address the business problem in multiple ways. Ford Foundation's suggestion was the key motivation to start a strategic management course in business administration program by universities in the US.

Alfred Chandler published the first strategic management book named, *Strategy and Structure: Chapters in the History of the Industrial Enterprises*, in 1962. In the same year, Sam Walton opened the first Walmart store in Arkansas based on the low-price and high level of customer service strategy. In 2010, Walmart became the largest company in the world. Now it has changed its original strategy to sustain itself in the business world and, debatably, downplayed customer service in favour of cutting costs. In 1980, for the first time in history, Strategic Management Society established Strategic Management Journal. It publishes 13 issues of journal papers every year. In 1995 Jeff Bezos launched Amazon.com, an online-based platform that has changed the world market drastically.

1.4 Criteria for An Effective Strategy

1. **Clear and well-laid-out objectives:** Strategies defined by the organisation must be clear, understandable, and attainable. Organisations need not require to write all the formed strategies. But it has to be defined chronologically so that all operational and tactical decision-makers can follow them easily. The desired strategic plan must be applicable and related to the problems that are faced by the business. A strategy designed by the management should be so clear that every employee can follow it in the company's interest.
2. **The designed strategy must be flexible:** An effective strategy should be able to adapt to the internal and external changes in the organisation.

That means a prepared strategy should be able to withstand time, markets, product trends, and competitors' strategies. It has to go along with the real-time challenges during implementation.

3. **A strategy should be prepared with information collated from related diverse groups:** All the stakeholders should thoroughly discuss the strategy before preparing and implementing it. This will facilitate fresh ideas, and support the strategy's formulation and implementation successfully. Therefore, all stakeholders must be involved from the initial stages.
4. **A strategy must consider the internal and external environment:** While preparing a strategy, it is important to consider external entities like competitors, suppliers, strategic partners, regulators, and customers. A detailed analysis of these external factors is critical to understand the risks involved, avoid any possible threats to the organisation, and identify new opportunities. Needless to say, internal factors play a vital role while preparing strategies. Analysis of the internal environment helps to identify the strength and weaknesses of the organisation to leverage the strengths and work on its weaknesses.
5. **Identifying the competitive advantage:** In business, you do not treat your competitors as enemies. While formulating a strategy, it is essential to observe competitors and their strategies so that you can make an effective strategy and make sound decisions.

1.5 Importance of A Strategy

Preparing a strategy is hard work. It requires time and resources that may disrupt day to day activities of the organisation. However, preparing strategies at the organisational level is important for the following reasons.

1. **It provides direction and an action plan:** After analysing the internal and external environment and the competitor's advantages, the strategist is able to provide a clear action plan to accomplish the organisation's objectives.
2. **It helps prioritise and align activities:** Strategies are all about making choices. They help set priorities and consider appropriate alternate resources, wherever possible, to accomplish the organisation's objectives.

3. **Define accountability:** Strategies help set down accountabilities for each stakeholder and provide a detailed timeline for their activities.
4. **It enhances communication and commitment:** Strategies clarify company vision and commitment. Since they provide a detailed action plan after consideration with all stakeholders, they help communicate, earn the stakeholders' commitment, and motivate all employees.
5. **It provides a background for ongoing decision-making:** Usually, strategic decisions become a reference point for further decision-making. It is essential to observe the changes happening in the organisation. Along with micro strategies, long-term strategic planning is essential -- as it guides daily activities, which in turn help meet long-term goals.

1.6 Intended, Emergent, And Realized Strategies

In a stable environment, the organisation's strategic planning allows the organisation to succeed. But in the real world, the environment may be both predictable and unstable. Therefore, you need to understand the different types of strategies that may be required.

1. Intended Strategy:

The intended strategy usually focuses on the intention of the organisation itself. For example, a business plan prepared by a new firm to keep the organisation together and lay down a path. An organisation may have a strategy to increase its market share by 5% every year.

Example

In 1965, Frederick Smith, an undergraduate student of Yale University, was preparing a startup business plan for a class project. His business plan was on providing courier services. He planned to route packages through a central hub and before moving them to their destinations. After graduation, Smith started a company called FedEx, that is, Federal Express based on the plan prepared by him during the project. In the year 2011, it was ranked top in the most admired company according to Fortune Magazine.

2. Emergent Strategy:

A strategy that emerges with time is known as an emergent strategy. It is an unplanned strategy that emerges while responding to various unexpected challenges, threats, and opportunities. It may be successful or a failure based on its effectiveness.

Example

FedEx was also a classic example of failure of an emergent strategy. In the mid-1980s deviated from its original strategy to focus on emerging technologies. It started a new service called Zapmail using a fax machine -- where FedEx could deliver documents to customers through a fax machine. This was started to reduce delivery time. But, due to technical problems, customers were frustrated. Zapmail failed and FedEx lost hundreds of millions of dollars.

3. Realised Strategy:

Realised strategy is the actual strategy followed by a company. It is the product of the intended strategy. For example, the intended strategy of FedEx, as planned by its founder many years ago -- delivering packages from a centralised hub to various destinations-- became a primary driver for the firm's realised strategy. On the other hand, in the case of Southern Bloomers Manufacturing Company, both intended and emergent strategies became the driver for the realised strategy.

However, sometimes firms deviate from their primary intended strategies and run the business using only a part of the intended strategy. An abandoned part of the intended strategy is called an Unrealised Strategy. For example, an author, David McConnell, struggling to sell his book, thought of a sales gimmick. He offered perfume as a complementary product. McConnell's books were not able to escape from the failure, though. However, the perfume, due to its sweet smell, became very successful. Soon after, the California Perfume Company was formed to sell the perfume. Now it is very famous in the name of Avon under personal care products. McConnell's dream to become a successful author was an unrealised strategy. But

unexpectedly, it benefitted success from Avon through emergent strategy and thus became a realised strategy.

Example

The Southern Bloomer Manufacturing Company was a successful case for emerging strategy. The company started manufacturing innerwear for mental hospitals and prisons. Many managers of these institutions thought the innerwear prepared by this company would not work like those manufactured by other companies, such as Calvin Klein and Hanes. However, this company used heavy cotton fabrics. This created an opportunity to go beyond its intended strategy -- that of serving the institutional need for durable innerwear. While manufacturing, it was producing a lot of waste materials. It was proving to be wasteful and expensive. One day, Don Sonner, a cofounder, during a visit to a gun shop, spotted a potential use of his waste material. He noticed, the material sold to clean the gun at the shop was not of a good quality (gave off fine threads or lint) compared to the material wasting in their units. Hence he suggested using up the wasted cloth pieces. Later, the waste patches quickly became popular and sold phenomenally well.

1.7 Purpose of A Business

As per Milton Friedman, an economist, the primary purpose of a business is to maximise profit for its owner if it's a private company or to the shareholders if it's a public company. Strategists opposed his view on the purpose of business. They said that a business's principal purpose is to serve a large group of stakeholders. That includes not only the owner but also employees, customers, and even society as a whole. Philosophers said this is why some legal and social regulation is needed to abide by the business. The Ex-chairman of Thermax Limited, Anu Aga, once said that breathing is very important to survive, but we can't say that we live to breathe. In this sense, to survive, making money is very important in the business, but money won't be the only reason to exist in business. Many observers argue that Corporate Social Responsibility could be the best option to balance the interest of different stakeholders. It can add economic value and balance out profit-making objectives. Former US President, Bill Clinton stated that multinational

companies need to consider their employee's and customers' interests before the interests of their shareholders.

- Alan Weiss, an American entrepreneur, writer, and public speaker, states that business aims to offer value to the customer. Money received from the customer needs to be invested in the business to accomplish day-to-day objectives as well as long-term objectives. After fulfilling the business's needs, 'Excess' money should be invested in philanthropy and the environment. As for him, the main purpose of business is to offer value to the customer, not to offer employment.
- As per Peter Drucker, the purpose of business must lie outside the business itself. That means business organisations are the organ of society. Hence, the purpose must lie in society, and it has to create a customer. Annette Franz, founder and Chief Experience Officer of CX Journey Inc., says people need to change the 1970s mindset that focuses on maximising the shareholder's value. By focusing on the customer and building values for the customer will increase profits automatically. This, in turn, benefits the shareholders. The above discussion concludes that the purpose of the business is to create value for the stakeholders -- that includes employees, customers, and society.

1.8 Goals and Objectives

1.8.1 Goals

The goal of a company can be briefly defined as the long-term desired outcome of a company. Goals are like abstracts of the business. A goal provides a long-term overarching target for the company. It only explains the general ambition of the business. These ambitions are often difficult to measure.

For example, a person wants to be a successful cricketer. This is his goal, but no proper action and time frame are attached to this to measure how he will achieve this goal. A very generic projection of the desire in the form of a goal is motivating but requires clear action on how to achieve this.

Following are some examples of business goals:

- a. Growth in revenues
- b. Increasing efficiency

- c. Providing outstanding customer support
- d. Becoming an industry leader
- e. Becoming a brand in the industry

1.8.2 Objectives

After setting the goal, the organisation's next step is to provide a detailed action plan for achieving it. This plan lays down specific actions or measurable steps to reach the desired goal of the organisation. Goals and objectives should always work in harmony to achieve the desired outcome.

For example, a business desires to double its revenue in two years. This is its goal. Adding new products and providing the best services to its customers become the objective of the business.

To increase revenue, the following are some of the objectives usually set by a company:

- a. In the fiscal year, earning a minimum of per cent return on investment.
- b. Cutting down the operating cost by 8 per cent.
- c. Reducing sales and service response time, etc.

1.8.3 Difference Between Goals And Objectives:

Goals	Objectives
Goals are the long-term desire of the organisation.	Objectives are for immediate actions set to achieve the goals of the organisation.
Goals are broader in scope	Objectives are narrower in scope
Goals are difficult to measure	Objectives can be measured
Goals are general statements and do not specify the task required to be accomplished	Objectives are specified statements and specify the task required to accomplish
Goals are long-term desires to be accomplished over the years. For example: Goal can be to introduce a new product next year.	As objectives are action plans of goals, these are usually divided into several parts that need to be accomplished individually within a short period.

	For example: Objective will give detailed timely steps to develop the new product.
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1.9 Vision and Mission Statements

9.1 Vision Statement

A Vision describes the future desires of the organisation. It indicates what the business is intended to do in the future. A clear vision of the organisation is the basis for preparing the mission of the organisation.

Example for vision statements:

1. General Motors' vision is to provide eco-friendly, zero crashes (save lives) and luxurious commodities to its customers.
2. Apple Computer's vision is to provide a great product to the customer.
3. Google's vision is to provide the required information in one click.

9.2 Mission Statement

The Mission statement declares the reason for running the business. That is the purpose, the company's philosophy, its beliefs, and its principles. It is a base for establishing company objectives, formulating strategies, creating plans, and assigning work.

1. General Motor's focuses on providing superior quality products and services to its customers, which will provide superior value to them. From this, employees and business partners will share the success, and investors receive sustainable returns.
2. Apple Computer's mission is to bring computers with innovative hardware and software and provide the best services to customers, giving them the best experience while using their product.
3. Google's mission is to systematically organise useful information so that the user can access it easily.

Most companies have clear mission and vision statements. The vision statement answers what the company wants to become in future. While the mission statement answers how it will achieve its vision. Employees and managers need to work together to shape the vision and mission of the organisation that will create harmony.

1.10 Core Competencies of A Business

Core competencies are the capabilities and resources that allow companies to have competitive advantages over competitors. Competencies are advantages formed by companies by acquiring or multiplying resources, transforming the abilities of the resources, and developing synergy in them. Finally, converting these competencies into business activities.

Here are a few examples that will help you understand how the concept of core competencies evolved.

During 2000, Dell's direct customer focus strategy helped the company build its competitive advantage. Continuous interaction with the customer through telephone and e-mails helped them to understand the needs of an individual and customers in general.

Thus, it can be concluded that core competencies are nothing but the capabilities and resources of the companies that allow the companies to achieve their goals-- by adding or creating distinctive value to their products or services in the long run. That means the company has to utilise its resources and capabilities in such a way that it can build competitive advantages for the company. Sometimes, a company's resources can become a liability to the company and weaken it, giving competitors an upper hand in that resource area. For example, during 2006, Deccan Airlines did not use its seating capacity, compared with King Fisher. Similarly, when a company is unable to convert its resources into core competencies, it needs to find a different market or portfolio where these resources may become an advantage. For example, Toyota introduced its outdated model and technologies in India and other countries and gained in new markets.

Criteria for Core Competencies

There are four criteria for building core competencies:

1. **Valuable Capabilities:** Valuable capabilities mean forming or adding value to its resources by taking advantage of the external environment.
For example, Walmart, with its distribution capacity, exploited the market by offering a low price for branded products when competitors were charging high prices.

2. **Rare Capabilities:** Rare capabilities are those which are possessed by competitors rarely. These might be innovative ideas of the competitors.

For example: For Dell Technologies, the computer business model of direct selling helped it successfully exploit the market.

3. **Costly to Imitate Capabilities:** Costly and complex capabilities that are difficult to imitate are called costly and imitate capabilities.

For example: McDonald's taste of the food, customer loyalty, and the brand name created by Tata Group's historical reasons.

4. **Non-Substitutable:** This capability of the company cannot be strategically equated, such as relationships, trust, products, knowledge, and expertise. Mahindra's tractors are the best example.

The four criteria or questions need to be answered while building core competencies in an organisation. These are:

- 1) Does it provide significant value to the organisation?
- 2) Does it allow to increase or dominate market share?
- 3) Is it difficult for competitors to imitate?
- 4) Does it help the organisation in achieving a competitive advantage?

Example, Apple's main core competency is **innovation**. They have a long history of developing unique and innovative technology products, including the Mac computer, iPod, iPhone, iPad, Apple TV, and Apple Watch.

1.11 Summary

Let us recapitulate the important concepts discussed in this topic:

- Strategy is a plan developed, implemented, and evaluated in an organisation to achieve its goal.
- The firm needs to work proactively rather than reactively to help the business make the right decisions, leading to success.
- Strategy is developed with the intention to achieve success. Sometimes strategy emerges while solving problems.
- The firm develops its vision and mission. On its basis, a strategy will be developed to achieve goals.
- A statement that describes the desire of the organisation is vision, and the

reason for running the business is a mission. To achieve this, an organisation formulates strategies.

- Strategy is a road map for the employees to work more efficiently and effectively to help an organisation meet its objectives.
- Strategy helps to decentralise power, which increases the creativity of the employees and motivates the employees to work more effectively.
- Strategies help to increase a firm's core competencies over its competitors by allocating resources effectively.

1.12 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **Adaptability:** It means how an individual or a group of people adapt to new things, decisions, and other choices. It means the flexibility to adapt to changes and making decisions quickly and easily.
- **Core values:** Core values in a leader help build respect, trust, and self-confidence.
- **Influence:** Influence defines the ability to encourage, motivate and guide others towards a single direction for achieving the mutual goals of the group.
- **Leadership:** Leadership can be defined as a process where an individual influences a group of followers or team towards common goals.
- **Power:** Power here means the capability to use one's thoughts to affect others' behaviour.
- **Qualities of a Leader:** Understanding the qualities of a leader is an inherent part of management. The art of leadership has four major ingredients.
- **Values:** Values may be defined as actions that benefit individuals and society at large.
- **Vision:** Vision is the statement prepared by a business to plan its activities and goals for the coming years. Vision is set for the long term, and the strategies and policies of the company are framed according to it.

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